
WHITE PAPER · PORTFOLIO & AI GOVERNANCE

Portfolio Governance Is a Funding-Discipline Problem, Not a Reporting Problem

A review governs a portfolio only when it can change what projects receive

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EXECUTIVE SUMMARY

A portfolio review governs only when it can change what projects receive: their money, their people, or their scope.

A review can show accurate status on every project and still be unable to say why one project was funded ahead of another. It decides only when its members have the authority to move money and people, evidence that lets them compare projects, and the willingness to stop work that is visible and already expensive. The portfolio management office (PMO) can mostly build the evidence, so its main job is to keep that evidence comparable.

- 01** Ask of any project whether the last review could have changed what it received, and whether it did. A no is a prompt to find which of authority, evidence, or willingness was missing, and counting stops proves little.
- 02** Have every project file one page each time it asks for money or people: the outcome and its evidence, the value expected and shown, the capacity it holds, the criteria for stopping it, and its owner.
- 03** The PMO keeps that page the same for every project, a ledger of the scarce people each approved project holds, and a record of what each review decided. It needs the member who runs the review to back it.

A review that reports and changes nothing

Suppose a portfolio review meets every month. A portfolio review is the recurring meeting where the leaders who control the budget look across all of an organization's projects. In this one, the dashboard is accurate. Every project has a status color, a milestone date, and a budget line. The members leave informed. Asked later why one project received its money ahead of another, no one can point to evidence that compared the two. The review described the portfolio and never governed it.

EXHIBIT 1

Each status view leaves a funding question open**Status color**

Shows which projects are troubled. It cannot say which one should lose its funding.

Milestone date

Shows whether work is on schedule, not whether it still deserves the people it holds.

Budget line

Shows what was spent, not whether the remaining money has a better use.

A review like that needs funding discipline, not better reporting. Funding discipline is the authority, the evidence, and the willingness to start, continue, redirect, or stop a project. Redirecting a project means changing what it receives or what it is meant to do. The claim follows from how the Project Management Institute (PMI) defines portfolio governance: a governing body that makes decisions about investments and priorities, with the authority to make resourcing, investment, and priority decisions.^[1] PMI's standard also describes the review meeting as the place to review current status and to determine whether any decisions need to be made.^[1] Reporting is the first half of that job. A review can complete the first half and never start the second.

Status still matters, because a decision needs it. Better reports make a review better informed, not more able to decide.

Funding that does not change is not always a problem, because sound projects should keep their money. The risk is that funding stays put because no one has a basis for choosing, and one study suggests that inertia is strong. In a study of 1,616 US-listed companies with more than one business, Stephen Hall, Dan Lovallo, and Reinier Musters of McKinsey found that the capital each business unit received in a year correlated 0.92, on average, with what it received the year before. They read the result as a great deal of strategic planning producing only modest shifts in resources.^[2] The study measured capital for business units, not projects. Applying it to a project portfolio is this paper's inference: once a project is approved, it likely keeps its money and people unless someone has a basis to decide otherwise.

What a review needs in order to decide

A review decides when three things are present: authority, evidence, and willingness. This list is the paper's own, built from PMI's and Cooper and Edgett's descriptions of portfolio management and not tested against data. It is a checklist, not a sequence. Each item can fail without the others, and any one failing is enough to stop a review from deciding.

EXHIBIT 2

A review decides only when all three are present

Authority

The members can move money and people, not only recommend.

Evidence

The review can compare projects on the same facts.

Willingness

The members will stop work that is visible, sponsored, and costly.

Authority means the members can move money and people, not only recommend. PMI says the governing body is made up of people with the requisite authority, knowledge, and experience.[1] Without authority, a review can only recommend.

Evidence means the review can compare the projects in front of it on the same facts. Robert Cooper and Scott Edgett, who developed the Stage-Gate method, explain why that is hard. Projects sit at different stages yet compete for the same resources, so a review must compare projects that carry different amounts and quality of information. [3] Without comparable evidence, the review may favor whichever sponsor argues with the most confidence. A sponsor is the executive who champions a project and answers for its success.

Willingness means the members are ready to cut or stop a project that is visible, has a sponsor, and has already cost a lot. Research on escalation of commitment, the pull to stay with a losing project, links personal responsibility for the original choice to more escalation. A meta-analysis of 35 years of that research found the link.[4] Most of those studies cover individual decisions, not review groups, so applying them to the members of a review is an inference. The paper "Why the Kill Gate Doesn't Fire" covers who should decide after a project misses its agreed result.

The three failures need different fixes. Authority and willingness belong to the executives who sit on the review. The portfolio management office (PMO), the team that supports the review, cannot supply them. Evidence is the one a PMO can mostly build through its own work.

A question to ask of any review

Pick a project and ask: could the last review have changed what this project received, and did it? What a project receives means its money, its people, and its scope. The paper "Give Stage Gates Teeth by Shrinking What They Decide" asks a board the same question, warns against scoring a board by its stops, and covers where in a project's life a review should sit. This paper adds one use for it, which is to read a no back to the three requirements.

If every project in front of a review deserves what it asked for, the review will change little, and a no may be fine. It is a prompt to check whether the review could have changed the outcome. Did its members have the authority to move money and people? Did the evidence let them compare this project with the others? Was anyone ready to act on the answer? If one of the three was missing, the review would have approved the project whatever it showed. If all three were present and the project deserved what it got, the review worked.

Do not score a review by its number of stops. One review also proves little, so read the answer across several reviews, using the record of what each project asked for and received, which the PMO keeps and which a later section describes. When the answer is no and the review could not have changed anything, look at the evidence first, because that is the part a PMO can mostly fix.

Evidence the review can compare

Consider three requests that reach one quarterly review. A customer-portal rebuild comes with a long deck and a business case. A data cleanup arrives as a short note. An AI pilot expansion comes with a demonstration. All three need the same integration team. This is one illustration of a problem that applies to any mix of requests, and none of it comes from a real review. Each sponsor chose what to bring, so the review hears three kinds of evidence and cannot set them side by side. It may have little to do but listen to each in turn.

A sponsor's own forecast is also weak evidence by itself. Bent Flyvbjerg, whose evidence comes mostly from large transportation projects, reports that front-end estimates of cost and benefit are often significantly different from actual results. He proposes checking a proposal against the results of similar completed projects.[5] Applying that to ordinary funding requests is this paper's inference. Where the organization has no similar past work, the page described next says so.

One page for every funding decision

The remedy is one page that every project files each time it asks for money or people. A status report says how the work is going. The page says what the project is asking for and what the review can compare it with. The sponsor writes it. The PMO checks that every field is filled in, and the review's members read it before the meeting. It is written fresh for each funding decision and replaced at the next one. It is not a standing report. It has five fields.

EXHIBIT 3

Five fields every project files when it asks for money or people

- ① **Outcome and evidence**
What should change, and the proof that it is changing.
- ② **Value expected and shown**
Each with its source, and a comparison with similar past projects, where there are any.
- ③ **Capacity held**
The named skilled people and their share of time, and what they would otherwise do.
- ④ **Stop or redirect criteria**
Agreed with the sponsor when the project is funded.
- ⑤ **Owner**
The person accountable for the value claim.

Agree the criteria for stopping with the sponsor when the project is funded, before anyone has a reason to argue about them. The paper "Why the Kill Gate Doesn't Fire" sets out how to set a minimum result and who decides if it is missed. This paper asks only that the page carry the agreed criteria. A project funded before the page existed

gets its criteria at its next renewal. Give every funded project a renewal date, so that each one reaches the review at least once.

The sponsor writes the value figures, so they are the sponsor's claims. The PMO's part is to keep each page, so that a new claim can be set beside what similar projects reported and what they delivered. For the key figures, "Give Stage Gates Teeth by Shrinking What They Decide" covers having someone other than the sponsor own the evidence. That paper also describes an evidence map for one decision about a project's next commitment. The page here carries the same fields for every project, so that the review can compare projects with each other.

Some work cannot state an expected value yet, such as an early experiment. Its page replaces the value field with the question the work will answer, the amount at risk, and the date the answer is due. The review compares those pages with each other and sets aside a share of capacity for them on purpose. Cooper and Edgett list a balance of long and short projects, and of higher and lower risk ones, among a portfolio's aims.[3] Work that must happen whatever its value, such as a legal requirement, files the page with its cost, the people it takes, and its date in place of the value fields, so the review chooses when and with whom, not whether.

The page costs the sponsor time to write, the PMO time to check, and the members time to read. It should replace that project's status slides at the meeting, not add to them. A page that cannot be filled in is itself a finding: the project is not ready for the funding it asks for.

The same page can serve AI requests. McKinsey describes measuring AI value through recurring evidence packs and decision gates, with only the use cases that prove value advancing to scale.[6] That is one consulting firm's argument, not a measured result.

The PMO keeps the evidence comparable

PMI's standard says that at a basic level a PMO may handle communication in the form of status reporting. It also lists wider roles: supporting proposals and evaluations, facilitating prioritization and authorization, negotiating resources between projects, and developing templates.[1] This paper's position within that list is that the PMO's main job is to keep the evidence the review sees comparable. That job has four tasks.

The PMO sets the page and keeps it the same for every project. With the chair's backing, it keeps a project off the agenda until its page is complete. The chair is the

member of the review who runs the meeting and settles disagreements. The PMO also keeps the capacity ledger beside the funding record, and it keeps the decision record.

The capacity ledger is a running list of the scarce people that approved projects hold. Each project's page shows the capacity it holds, and the ledger adds those figures across projects. The review can then see that approving one request takes people from another, as Cooper and Edgett note.[3] The paper "The EPMO's Job Is Capacity, Not Calendars" explains how to find which people are the limit. If tracking everyone costs too much, track the few skills that run out first. The cost is confirming assignments each review cycle with the managers of those teams.

The decision record lists, for each review and each project, what the project asked for, what it received, and what moved: money, people, or scope. PMI's standard has governance decisions documented and communicated to the people affected and to the managers of the projects concerned, and allows a spreadsheet or a text document for the purpose.[1] Across several reviews, the record answers the question from the previous section by showing how often the review changed what a project received, and why. Over time the saved pages and the record also become the organization's own set of similar past projects, which is what makes the comparison in the page's second field possible. For that, each project's closing entry, written by the owner named in the page's fifth field, records the value the project actually delivered.

The PMO checks that pages are complete and comparable. It does not judge whether a project is a good bet. That judgment belongs to the review's members, who weigh the pages against strategy and against each other.

Where this goes wrong

The PMO may lack the standing to hold a sponsor to the page. A PMO can ask, but only the chair can decide that an incomplete page is not heard. If no executive will back that rule, the missing requirement is authority, and the page will not fix it. Tell the review's members so, rather than building a page nobody has to read.

The page can favor what can be measured. A project that can state a number can look stronger than one that cannot, and a long-running commitment can lose to a quick win. The separate page for early experiments and the share of capacity set aside for them are meant to reduce this risk. The review can also name the multi-year commitments it will protect and say why.

More decisions can mean more churn. A project whose funding is reopened every month may struggle to plan. Decide at the points where a project already asks for money, such as approval, a stage, or a renewal, and not at every meeting. The McKinsey study cited earlier found that companies in the top third for moving capital earned higher shareholder returns over 15 years than those in the bottom third, but that over spans shorter than three years, heavier reallocators earned less than steadier peers.[2] The paper "Capital Reallocation Is the Real Portfolio Decision" takes up how often money should move.

The evidence has limits. No study has tested the page. Its parts come from PMI, Cooper and Edgett, and Flyvbjerg, and the way they fit together is this paper's design. The sources reviewed do not show how much value weak funding discipline costs, and the 0.92 figure measures business-unit capital, not projects. The title therefore states a conclusion drawn from PMI's definition of governance, not a measured finding. Funding discipline governs how investment decisions are made, not whether the bets are wise.

What to do next

Before the next portfolio review, collect the five-field page from each project that asks for a funding decision at that meeting, and list any page you could not fill. At the meeting, the members decide from the pages, and status moves to a pre-read. Afterward, record for each project what it asked for, what it received, and what moved.

Then ask the question for each project: could this review have changed what it received, and did it? The PMO prepares the answer from the record, and the chair decides what it means. Where the answer is no and the review could not have changed it, find which of authority, evidence, or willingness was missing. If pages could not be filled in, start there, because the evidence is the PMO's to build. After a few reviews, read the record for two signals: requests approved without a complete page, and projects the review left alone for a stated reason.

The monthly review in the opening had accurate status. If its members could act and were willing to, what it lacked was a page that would let it compare projects, a record that would let it ask whether it changed anything, and someone to keep both. Those are the PMO's work, and they are where to start.

Notes and sources

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Marco Policani is an enterprise portfolio, PMO, and AI operating-governance leader. He builds portfolio governance systems where AI carries the analytical load and named humans own every decision — an approach documented across case studies, walkthroughs, and working governance guides on his portfolio site.

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